

Palantir Technologies Inc.

PLTR NYSE

Hold	\$184.25 ▲ 0.65%	12M Price Target \$195.00	52-Week Range \$106.37 – \$207.52	Market Cap \$442.88B
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PLTR: Grinding Higher But Insiders Are Cashing Out

WHAT HAPPENED

- Stock is up modestly (+0.65%) but the real story is the 6% rip over the last 5 trading days — PLTR is now at 77% of its 52-week range and pushing back toward all-time highs. The volume today (\$10M shares) is way lighter than the run-up days (20-40M), which tells me buyers are getting tired up here.
- Insider selling is a yellow flag — Director Alexander Moore dumped ~\$2M worth of stock last week across four transactions. When insiders sell into strength, it doesn't mean the company's broken, but it means the people who know it best don't think \$170+ is a screaming bargain.

WHY IT MATTERS

Here's what I'm seeing: the stock is grinding higher on decent momentum, but the smart money signals are flashing caution. Options traders are loading up on near-term puts (unusual put activity at \$182.50 and \$185 strikes — that's people betting the stock drops back below these levels within weeks), and insiders are selling. That combo usually means we're closer to a short-term top than a breakout. The Chipotle risk-scoring headline matters more than it sounds — Palantir's Foundry platform winning mainstream commercial deals (not just government) is the whole bull thesis for justifying this insane valuation, so watch commercial revenue growth like a hawk on the next earnings print.

POLICY & POLITICAL WATCH

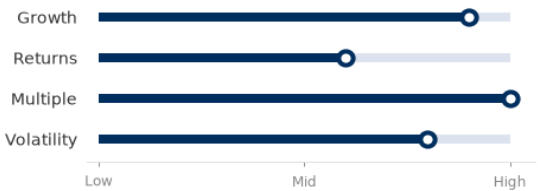
The FY2027 defense authorization is being marked up in committee right now, and there's bipartisan momentum for expanding the Pentagon's AI/software procurement budget — that's a direct tailwind because Palantir's Maven and TITAN contracts are exactly the kind of "software-defined warfare" spending that's getting prioritized. On the flip side, there's growing chatter in Congress about AI liability standards (that WSJ "AI Liability Landmine" headline this morning is not a coincidence) — if lawmakers pass rules making AI vendors liable for downstream customer misuse, Palantir gets hit alongside everyone else. Also watch immigration enforcement funding — PLTR's ICE contracts are politically radioactive and any Democratic pushback in appropriations fights could create headline risk.

IS IT EXPENSIVE?

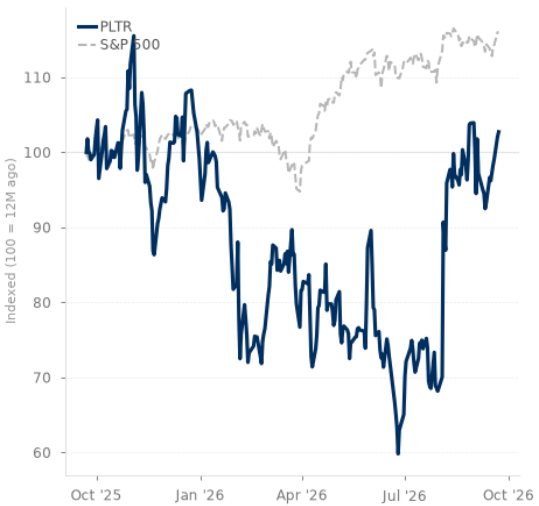
Key Data

Price (USD)	\$184.25
12M Price Target	\$195.00
Upside / (Downside)	+5.8%
Market Cap	\$442.88B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.72
FY2027E EPS	\$1.05
Fwd P/E	256.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$205.00	\$188.00	\$168.00
6 Months	\$240.00	\$195.00	\$150.00
1 Year	\$275.00	\$200.00	\$130.00
2 Years	\$340.00	\$230.00	\$110.00
5 Years	\$500.00	\$320.00	\$90.00
10 Years	\$900.00	\$500.00	\$70.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials and Consumer Staples led today — that's a defensive/inflation-hedge rotation, not risk-on. Tech was only +0.39% today but +6.58% over 5 days, so the AI trade is still working, just cooling on the margin.

COOLING OFF: Nothing dramatically breaking, but tech's daily leadership is fading — when defensives outperform tech on the same day, it often signals institutions taking profits in high-multiple names.

ROTATION WATCH: Money is quietly rotating from mega-cap tech into defensives and materials, which is a classic late-cycle move. If this continues, high-multiple AI names like PLTR get hit hardest because they benefit least from a rotation into "boring" cash-flowing businesses.

RELATED PLAY: If you want AI exposure with less froth, look at the infrastructure layer — data center REITs (DLR, EQIX) and power utilities benefiting from AI electricity demand. They win whether PLTR or CrowdStrike wins the software layer.

WHO'S WINNING IN THIS SPACE?

- CRWD (CrowdStrike): Getting compared favorably to PLTR in today's Motley Fool piece — cybersecurity is riding both AI tailwinds AND heightened federal cyber spending post-recent breaches
- NVDA (Nvidia): Still the pick-and-shovel play for the entire AI buildout — less binary risk than PLTR because everyone needs their chips regardless of which software wins

PLTR CONTEXT: PLTR is leading the software AI cohort on momentum but lagging on valuation discipline — it's the highest-beta way to play AI, meaning it goes up more when the trade is hot and down more when it isn't. Right now it's outperforming, but that cuts both ways.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, I don't love the price. Great company, uncomfortable entry point.

POSITION SIZE: Keep it at 2-3% max. The upside is real but the volatility means a 30% drawdown wouldn't shock me, and you don't want that eating your portfolio.

ENTRY POINTS: I'd wait for a pullback to \$155-165, which is roughly where the stock consolidated before this latest leg up. Chasing at \$184 with insiders selling feels like buying someone else's exit.

TIME HORIZON: 12-24 months. The catalyst I'm watching is the Q4 2026 earnings print (early Feb) — commercial revenue growth needs to stay above 60% to justify current price.

WHEN TO BAIL: If commercial growth drops below 45%, if we get a major government contract cancellation, or if the stock breaks below \$150 on volume (that would signal the momentum trade is over).

HEDGING: Simplest hedge: if you own 100 shares, buy a put option 10% below current price expiring 3-6 months out — it's like paying for insurance on your position. Costs a few percent but caps your downside if the AI trade unwinds.